LECTURE NOTES

On

Entrepreneurship and Management & Smart Technology

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ENTREPRENEURSHIP AND MANAGEMENT & SMART TECHNOLOGY

Concept /Meaning of Entrepreneurship

Entrepreneurship is the ability and readiness to develop, organise and run a business enterprise, along with any of its uncertainties in order to make a profit. The most prominent example of entrepreneurship is the starting of new businesses.

In economics, entrepreneurship connected with land, labour, natural resources, and capital can generate a profit. The entrepreneurial vision is defined by discovery and risk-taking and is an indispensable part of a nation's capacity to succeed in an ever-changing and more competitive global marketplace.

Meaning of Entrepreneur

Anyone who has the will and determination to start a new company and deal with all the risks that go with it can become an entrepreneur.

Need of Entrepreneurship

Entrepreneurship is important, as it has the ability to improve standards of living and create wealth, not only for the entrepreneurs but also for related businesses. New and improved products, services, or technology from entrepreneurs enable new markets to be developed and new wealth to be created.

Entrepreneurs also help drive change with innovation, where new and improved products enable new markets to be developed.

Too much entrepreneurship (i.e., high self-employment) can be detrimental to economic development.

Characteristics

Risk Taker

Entrepreneur as an agent who buys factors as production at certain prices in order to combine them into a product with a view to selling it at uncertain prices in future

Organiser

An entrepreneur is one who combines the land of one, the labour of another, and capital of yet another, and thus produces a product. By selling the product in the market, he pays interest on capital, rent on land, and wages to labourers and what remains is his/her profit.

Innovator

The introduction of the new combination, according to him, may occur in any of the following forms.

- Introduction of new products in the market.
- Use of a new method of production, which is not yet tested.
- Opening of the new market.
- Discovery of new sources of raw materials.
- Bringing out a new form of organisation.

Barriers in entrepreneurship

Finances

We are all bustling with ideas that are unique and can make for an amazing business start-up. But no matter how good your idea is, you will always need stable finances and funding from the investors to begin the process and take the first step towards your journey of entrepreneurship. And getting a sound financial investment or funding can be one of the biggest Barriers to Entrepreneurship

Fewer opportunities

Even though there is a lot of talent pool in the market with the aspiring entrepreneurs buzzing with the ideas, the opportunities presented to them are quite fewer and fewer. Reasons such as nepotism and corruption act as Barriers to Entrepreneurship with not many vital and lucrative opportunities.

Fear of not being a success

We all go through the fear of failure. And if the fear is associated with the risks and stakes taken in the stream of business and entrepreneurship, the level of fear elevates. There is a fear if we are on the right track, is the idea worthwhile, will there be profit, will I find investors, and various such fears and tensions act as the Barriers to Entrepreneurship.

Less market experience

The experts always mention that one should never rush in setting up a business. It is quite necessary to gain a relative amount of work experience by working in the industry domain or sector of choice and as per the education levels. It also helps to sharpen the required expertise and find the ground in the career graph. Once the person is ready to take risks and have a relative amount of market exposure, he is ready to take the entrepreneurial plunge.

Entrepreneurs vs. Manager

Points	Entrepreneur	Manager
Motive	The main motive of an entrepreneur is to start a venture for his combined gratification.	The main motive of a manager is to render services in an enterprise already set by someone else.
Status	Owner	Servant,non-seasons
Risk	Assumes risk and uncertainty	The manager does not bear any risk involved in the enterprise.
Rewards	Profits, which are highly uncertain and not fixed.	The salary is certain and fixed.
Innovation	Entrepreneur themselves thinks over what and how to produce goods to meet the changing needs of the customers. Hence they act as an innovator/change agent.	A manager simply executes plans prepared by the entrepreneur.
Qualification	An entrepreneur needs to possess qualities and qualifications like a high achievement motive, originality in thinking, foresight, risk-bearing ability etc.	A manager needs to possess distinct qualifications in terms of sound knowledge in management theory and practice.

Business Ownership

Sole Proprietorship

A sole proprietorship is owned by only one person. This is the most common form of business ownership. It can include small retail stores, mechanic services, and even inventors or musicians seeking to sell their products online. It is fairly easy to establish a sole proprietorship, and the process of running them is fairly simple.

Advantages of Sole Proprietorships

- Ease of starting and ending the business
- Being your own boss.
- Pride of ownership as sole proprietors has taken the risk and deserves the credit.
- Leaving a legacy behind for future generations.
- Retention of company profit

Disadvantages of Sole Proprietorships.

- Unlimited liability is the responsibility of business owners for all of the debts of the business.
- Limited financial resources. funds available are limited to the funds that the sole owner can gather.
- Management difficulties. Many owners are not skilled at record keeping.
- Overwhelming time commitment. the owner has no one with whom to share the burden.
- Few fringe benefits. fringe benefits can add up to 30% of a worker's income.
- Limited growth
- Limited life span. if the sole proprietor dies or leaves, the business ends.

Partnership

A partnership is similar to sole-proprietorship, except more than one person is involved. Two or more people come together to work at a given business and share in the profits (or losses) of that business. Like sole proprietorship, a partnership is relatively easy to set up and doesn't have to pay the sort of taxes that larger corporations do. However, the partners themselves are responsible for business losses and liabilities, and partnerships founded on informal agreements may run into interpersonal problems when the company struggles.

Advantages of Partnerships

- More financial resources. two or more people pool their money and credit.
- Shared management and pooled/ complementary knowledge. partners provide different skills and perspectives.
- Longer survival. partners are four times as likely to succeed as sole proprietorships.
- No special taxes. all profits of partners are taxed as the personal income of the owners.

Disadvantages of Partnerships

- Unlimited liability.
- Each general partner is liable for the debts of the firm, no matter who was responsible for causing those debts.
- You are liable for your partners' mistakes as well as your own.
- Division of profits. sharing profits can cause conflicts.
- Disagreements among partners.
- Disagreements can arise over division of authority, purchasing decisions, and so on.

Company

A company is a business, which is considered a separate entity from the owner; even having the legal rights of a person.

Advantages of Corporations.

- Limited liability. Limited liability is probably the most significant advantage of corporations. Limited liability means that the owners of a business are responsible for losses only up to the amount they invest.
- More money for investment To raise money, a corporation sells ownership (stock) to anyone interested or corporations can also raise money from investors through issuing bonds. Corporations may also find it easier to obtain loans.
- Size. Corporations have the size and resources to take advantage of opportunities anywhere in the world.
- Perpetual life The death of one or more owners does not terminate the corporation.
- Ease of ownership change i.e. selling stock changes ownership.

Disadvantages of corporations.

- Extensive paperwork A corporation must prove all its expenses and deductions are legitimate. A corporation must keep detailed records.
- Double taxation Corporate income is taxed twice. The corporation pays tax on income before it can distribute to stockholders. The stockholders pay tax on the income they receive from the corporation.
- Two tax returns A corporate owner must file both a corporate tax return and an individual tax return
- Initial cost. Incorporation may cost thousands of dollars and involve expensive lawyers and accountants.

Franchising

Franchising is a business arrangement in which the owner of a trademark, trade name, or copyright has licensed others to use it in selling goods or services. It can be a sole proprietorship, partnership, or company form.

Advantages of franchises:

- Personal ownership You are still your own boss, although you must follow the rules, regulations, and procedures of the franchise.
- An Established Business A franchise offers the advantage of operating under the banner of an already established business.
- A Known Brand Operating under the banner of a franchise allows a franchisee to take advantage of the previously established brand of the business. This means there will (in theory) be far less work (and cost) involved in trying to establish and build on the brand of the business. It will already be known and trusted by the market and therefore should produce a steady stream of brand-loyal customers.

Disadvantages of a Franchise

- No Control The first and most significant disadvantage of a franchise is the fact that the franchisee has no control of the business or how it is run (or very limited control). The rules of the business are already established and part of the franchise agreement. How the business operates is set out by the brand of the franchise and it is very rare that a new franchisee will be able to operate outside of these borders.
- Tied To Suppliers Operating a business, you'd probably like to keep costs down. Finding the cheapest suppliers to minimise your overheads and maximise your profits. But being part of a franchise means you'll be required to use the franchise supply network.
- Cut Of Your Profit The franchisor will expect a cut of your profit. You do all the hard work and still have to pay them for the privilege of using their name (and support). When times are hard, this might mean a further reduction in already low profits and a struggle for your business. Each form has its advantages and disadvantages. And the choice of form of business ownership will directly affect how much taxes the owner has to pay and what business licences and documents are required. In the majority of cases, it is perfectly acceptable that small businesses start as one form of ownership and change to another with its growth. An entrepreneur is not bound by their first choice of form of business. Entrepreneurs can decide to hire help from a lawyer or an attorney who specialises in small businesses and will help an entrepreneur to choose a form of business ownership and ensure him about getting all the required permits and licence

Concept of Start-ups

A startup is a young company established by one or more entrepreneurs to create unique and irreplaceable products or services. It aims at bringing innovation and building ideas quickly.

Entrepreneurial support agencies

SIDBI (Small Industries Development Bank of India)

Small Industries Development Bank of India is the apex regulatory body for the overall licensing and regulation of micro, small and medium enterprise finance companies in India. It is under the jurisdiction of the Ministry of Finance, Government of India headquartered at **Lucknow**, and has its offices all over the country

NABARD(National Bank for Agriculture and Rural Development)

National Bank for Agriculture and Rural Development is an apex regulatory body for the overall regulation of regional rural banks and apex cooperative banks in India. It is under the jurisdiction of the Ministry of Finance, Government of India

Business Plan

A business plan is a written document that describes in detail how a business, usually a startup, defines its objectives and how it is to go about achieving its goals. A business plan lays out a written roadmap for the firm from marketing, financial, and operational standpoints. A business plan is a fundamental document that any startup business needs to have in place prior to beginning operations. Banks and venture capital firms indeed often make writing a viable business plan a prerequisite before considering providing capital to new businesses.

Elements of a Business Plan

The length of the business plan varies greatly from business-to-business. All of the information should fit into a 15- to 20-pages document.

Executive summary

This section outlines the company and includes the mission statement along with any information about the company's leadership, employees, operations, and location.

Products and services

Here, the company can outline the products and services it will offer, and may also include pricing, product lifespan, and benefits to the consumer. Other factors that may go into this section include production and manufacturing processes, any patents the company may have, as well as proprietary technology. Any information about research and development (R&D) can also be included here.

Market analysis

A firm needs a good handle on the industry as well as its target market. It will outline who the competition is and how it factors in the industry, along with its strengths and weaknesses. It will also describe the expected consumer demand for what the business is selling and how easy or difficult it may be to grab market share from incumbents.

Marketing strategy

This area describes how the company will attract and keep its customer base and how it intends to reach the consumer. This means a clear distribution channel must be outlined. It will also spell out advertising and marketing campaign plans and through what types of media those campaigns will exist on.

Financial planning

In order to attract the party reading the business plan, the company should include its financial planning and future projections. Financial statements, balance sheets, and other financial information may be included for already-established businesses. New businesses will instead include targets and estimates for the first few years of the business and any potential investors.

Budget

Any good company needs to have a budget in place. This includes costs related to staffing, development, manufacturing, marketing, and any other expenses related to the business.

SMALL SCALE INDUSTRY

Small Scale Industries (SSI) are those industries in which **the manufacturing, production, and rendering of services are done** on a small or micro scale. These industries make a one-time investment in machinery, plant, and equipment, but it does not exceed **Rs. 10 crores**, and annual turnover does not exceed **Rs. 50 crore.**

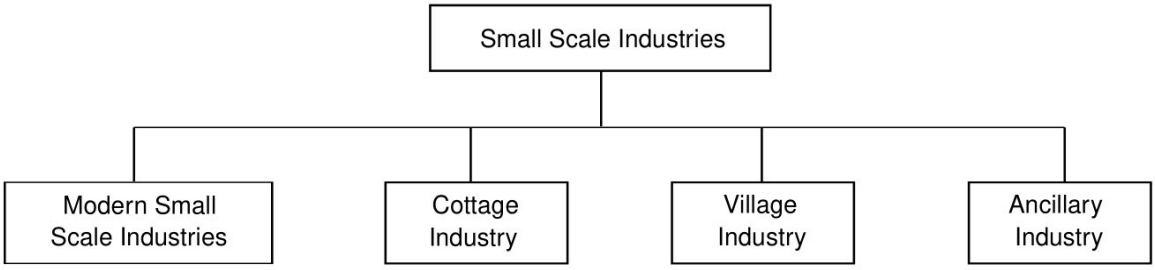


Fig. 6.1: Types of small-scale industries

Cottage Industry

A cottage industry is a small-scale, decentralised manufacturing business often operated out of a home rather than a purpose-built facility. Cottage industries are defined by the amount of investment required to start, as well as the number of people employed.

Example - Smithy, Carpentry, Weaving, Pottery, Blanket making, Stone Carving, Textiles, Ceramics, Handmade Jewellery

Village Industry

Village industry means any industry, located in a "rural area" in the tiny sector that produces any goods or renders any services with or without the use of power and in which the total fixed capital investment in land, building, plant, and machinery per head of an artisan or a worker does not exceed Rs. 50,000/-.
Examples - Khansari, cane and bamboo basket, shoemaking, pottery, and leather tanning.

Ancillary Industry

The ancillary industry is an industry that has fixed investments in plants and machines that do not exceed **1 crore rupees**. The ancillary industry manufactures parts, components, sub-assemblies, tools, intermediates, machines, etc. Any heavy industry depends on the machinery for its work to progress; the heavy industry always requires the support of the ancillary industry.
Example - Industries that manufacture automobiles, railway engines, tractors, etc. are ancillary industries.

CHARACTERISTICS OF SSI

- A small unit is generally a one-man show. Even if SSI is run by a partnership or company, the activities are carried out by one of the partners or directors; the others are as sleeping partners.
- In the case of SSI, the owner himself or herself is a manager also and hence an SSI is managed in a personalised fashion. The owner takes effective participation in all matters of business decision-making.
- The scope of operation of SSI is generally localised, catering to the local and regional demands.
- **The gestation period** i.e., the period after which return on investment starts is relatively lower when compared to large units.
- SSI's are fairly labour-intensive with comparatively smaller capital investments.
- Small units use indigenous resources and therefore, can be located anywhere subject to the availability of these resources like raw materials, labour, etc.
- Using local resources Small Units are decentralised and dispersed to rural areas.
- Thus small units promote balanced regional development and prevent the influx of job seekers from rural areas to cities.

- Small scale units are more change susceptible and highly reactive and receptive to socio-economic conditions. They are more flexible to adopt changes like the introduction of new products, a new method of production, new materials, new markets, and a new form of organisation, etc.

OBJECTIVES

The various objectives of developing small-scale industries are in fact, implied in one way or another, in its rationale itself, just discussed in section 6.3. However, an attempt has been made in this section to enumerate the main objectives of developing small enterprises in India.

- To generate immediate and large-scale employment opportunities with relatively low investment.
- To eradicate the unemployment problem from the country.
- To encourage dispersal of industries non-seasonsskilfulorganizationcountry covering small towns, villages, and economically lagging regions.
- To bring backward areas too, into the mainstream of national development.
- To promote balanced regional development in the whole country.
- To ensure a more equitable distribution of national income.
- To encourage the effective mobilisation of the country's untapped resources.
- To improve the standard of living of people in the country.

ROLE OF SSI IN ECONOMIC DEVELOPMENT

1. Employment

SSI uses labour-intensive techniques and therefore provides employment on a large scale, SSI accounts for 75% of the total employment in the industrial sector. SSI provides self-employment to artisans, technically qualified persons, and professionals. These industries also offer employment to farmers when they are idle.

2. Optimization of Capital

SSI requires less capital per unit of output and provides quick returns on investment due to a shorter gestation period. Small scale units help to save and channelize them into industrial activities.

3. Balanced Regional Development

SSI promotes the decentralised development of industries. They help to remove regional disparities by industrialising rural and backward areas. They also help to improve the standard of living in suburban and rural areas.

4. Mobilisation of Local Resources

SSI helps to mobilise and utilise local resources like small savings, entrepreneurial talent, etc. which might otherwise remain idle and unutilized. These industries facilitate the growth of local entrepreneurs and self-employed professionals in small towns and villages.

5. Development of Entrepreneurship

Small scale units have helped to develop a class of entrepreneurs. These units facilitate self-employment and a spirit of self-reliance in society.

Sector

A sector is an area of the economy in which businesses share the same or related business activity, product, or service. Sectors represent a large grouping of companies with similar business activities, such as the extraction of natural resources and agriculture.
This is generally divided into **three** types

Primary Sector

The primary sector involves companies that participate in the extraction and harvesting of natural products from the Earth. Primary sector companies are typically engaged in economic activity that utilises the Earth's natural resources, which are sold to consumers or commercial businesses.
Example - Farming, logging, hunting, fishing, and mining.

Secondary Sector

The secondary sector consists of processing, manufacturing, and construction companies. The secondary sector produces goods from the natural products within the primary sector.

Example - Automobile production, Textile, Chemical engineering, Aerospace space, Shipbuilding, Energy utilities

Tertiary Sector

The tertiary sector comprises companies that provide services, such as retailers, entertainment firms, and financial organisations. The tertiary sector provides services to businesses and consumers by selling the goods that are manufactured by companies in the secondary sector.

Example - Retail sales, Transportation and distribution, Restaurants, Tourism, Insurance and banking, Healthcare services, Legal services

Identify more business opportunities

1. Listen to your potential clients and past leads

When you're targeting potential customers, listen to their needs, wants, challenges, and frustrations with your industry. Have they used similar products and services before? What did they like and dislike? Why did they come to you? What are their objections to your products or services?

2. Listen to your customers

When you're talking to your customers, listen to what they are saying about your industry, products, and services. What are their frequently asked questions? Experiences? Frustrations? Feedback and complaints?

3. Look at your competitors

Do a little competitive analysis (don't let it lead to competitive paralysis though) to see what other startups are doing, and more importantly, not doing? Where are they falling down? What are they doing right? What makes customers go to them over you?

4. Look at industry trends and insights

Try to understand the customer what they are using right now and understand the concept of why they are using them. Try to gather information about the product insights of competitors.

Demand

Demand is an economic principle referring to a consumer's desire to purchase goods and services and willingness to pay a price for a specific good or service.

There are different types of demand

Negative Demand

Negative demand is a type of demand which is created if the product is disliked in general. The product might be beneficial but the customer does not want it. An example of negative demand is a) Dental work where people don't want problems with their teeth and use preventive measures to avoid the same.

No demands

Certain products face the challenge of no demand. The best example for the same can be education courses where there is very low demand or no demand at all. Such cases are very hard to counter.

Latent Demand

Latent demand is, as the name suggests, a demand which the customer realises later. Thus, while buying the product, he might not desire some features. But later on, he might think about those features and buy the product. The best example of latent demand is normal phones vs smartphones.

Irregular demand

Irregular demand can be a demand which is not consistent. The best example of irregular demand is seasonal products like umbrellas, air conditioners, or resorts. These products sell irregularly and sell more during peak season whereas their demand is very low during non seasons. The best way to counter irregular demand is to introduce incentives for the customer to buy the product.

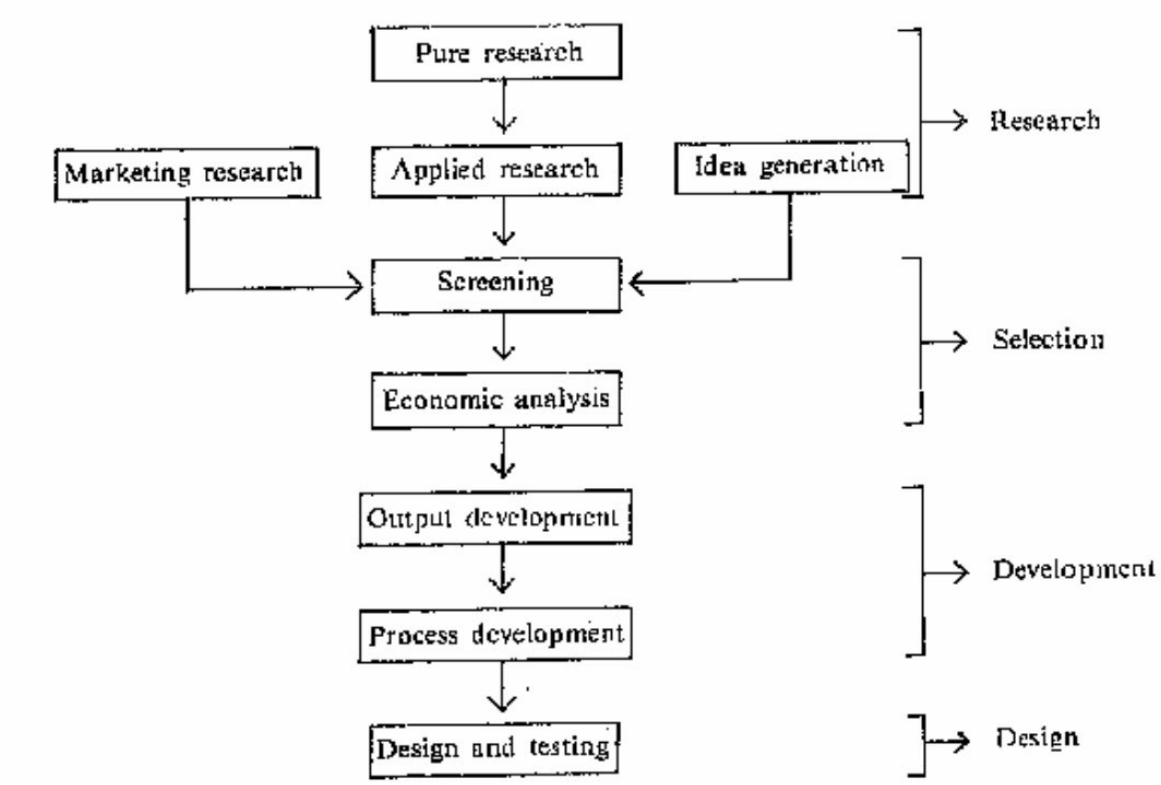
Full market demand

In an ideal environment, a company should always have full demand. Full demand means that the demand is meeting the supply potential of the company. It also means that the markets are happy with the products of the company and that people want to buy from the same company. The marketing challenge in this type of demand is to maintain the same level of interest in the product and the company.

Overfull demands

Overfull demands happen when the company's manufacturing capacity is limited but the demand is more than the supply. This can be observed in the cement industry occasionally. Generally, most cement industries have limited manufacturing capacity. And hence, brand switching in the cement industry is high. Many companies use de-marketing techniques to counteract overfull demands. This is because if the company keeps marketing, but it is not able to supply the material, then the company might suffer badly in brand equity.

Stages to bring a new product to market



Meaning of Project

A project is an idea or a plan that is intended to be carried out. Project is the foundation of a company

Three attributes (on which it depends on)

1. Course of action
2. Specific Objective
3. Time-dependent

Project Selection

Content

1. **General Information**
2. **Promoter**
3. **Location**
4. **Land and Building**
5. **Machinery**
6. **Production Process**
7. **Utilities(Supply)**
8. **Transportation and Communication**
9. **Manpower**
10. **Product**
11. **Market(Consumer)**
12. **Working Capital**
13. **Fund**

Feasibility

"Feasibility" is a study that aims at uncovering the strength and weaknesses of an existing business or a proposed business venture. It takes into consideration the opportunities offered by the environment, its resources, and the subsequent success of the venture. It should include the description of the product or service,

its historical background, operational details, financial data and accounting statement, legal and tax requirements, and its policies on management and marketing research.

Marketing Feasibility

Marketing appraisal is concerned with the determination of the aggregate demand for the proposed product/service. To carry out the market appraisal, the analyst requires a variety of information.

- Who is the customer for the product?
- Where is he located?
- How can I reach them?
- What is the expected sale for the next 5 or 10 years?

The information requirements are Past and present consumption and demand pattern and likely projected trend Demand supply gap Production capacity and price structure Method of distribution Consumer behaviour, motivations, tastes, and preferences Competitors Government policy and restriction Supplementary and complementary goods The information required for demand market analysis is partly through market survey and partly from secondary sources.

Technical Feasibility

Technical analysis of projects is done continually when the projects are formulated. Technical appraisal seeks to determine whether the pre-requisite for the successful commissioning of the project have been considered and reasonably good choices have been made with respect to location, size, and process, etc. It also helps to locate the source of supplier of raw material and fix up the final cost of the project.

The major aspect of technical appraisal should include

- Choice of technology is influenced by various factors such as plant capacity, principle inputs product mix, ease of absorption.
- Means of acquiring technology – this is the option available are-this the option available are-technology licensing, purchase of technology, joint venture, or collaboration arrangement.
- Product mix design
- Plant capacity decision the factors like demand, technological requirements, inputs constraints, government policy, and resources of the firm
- The decision regarding the structure and civil works. Considerations of alternatives – the technical analysis area pre- requisite establishing feasibility

Financial Feasibility

Financial appraisal analyses whether the proposed projects will be financially viable in the sense that is able to meet the burden of servicing the debts and whether the project will satisfy the return expectation of those who have invested capital. The various aspects of financial appraisal are-

- Cost of project
- Means of finance
- Profitability and break-even point
- Financial statement
- Criteria for evaluation of projects

Economical Feasibility

Economical feasibility is considered to be social cost-benefits analysis. It is the most frequently used method for evaluating the effectiveness of a new system. In economic analysis, the procedure is to determine the benefits and savings that are expected from a candidate system and compare them with cost. An entrepreneur must accurately weigh the cost versus benefits before taking an action. The possible questions raised in economic feasibility analysis are-

- Is the system cost-effective?
- Do benefits outweigh costs?
- The estimated cost of hardware
- The estimated cost of software/hardware development
- Cost of employee time for study
- Selection among alternatives financing arrangements(rent/lease/purchase)

The concerned business must be able to see the value of investment it is pondering before committing to an entire system study. Economic analysis is used for evaluating the effectiveness of the proposed system. The economical feasibility will review the expected cost to see if they are in line with the projected budget or if the project has an acceptable return on investment

Viability

Viability means: - the ability to survive "Viability" is the practical potential of a start-up business idea to survive and grow in the marketplace. "Viability" is the study or an investigation of an existing business or proposed venture's sustainability. It determines whether the proposal should be approved or not. It involves dealing with strategies on how to make the business grow and last. Business growth is an aspect of viability. How long a business will last is determined by its viability, and it can be seen in the profits that the business has made for a certain period. Good profit means a better chance at success for the business. Viability into the future is known as "sustainability". Business viability decision-making is the study of identifying and choosing alternative business models based on the values and preferences of the decision-maker. Making a business decision implies that there are alternative commercial factors to identify as many of these alternatives as possible, but to choose the one that best fits with the business venture goals and entrepreneurial objective.

Management Principle

The art of getting things done through people

Management is the direction and maintenance of an internal environment in an enterprise where individuals working in groups can perform efficiently and effectively towards the attainment of group goals.

Functions of management

Planning:

Planning is the primary function of management. It is looking ahead and preparing for the future. It determines in advance what should be done. It is the conscious determination of the future course of action. Does this involve determining why to take action? What action? How to take action? When to take action? Planning involves the determination of specific objectives, programs, setting policies, strategies, rules, and procedures, and preparing budgets. Planning is a function that is performed by managers at all levels – top,

middle and supervisory. Plans made by top management for the organisation as a whole may cover periods as long as five to ten years, whereas plans made by low-level managers cover much shorter periods.

Organising:

Organising is the distribution of work group-wise or section-wise for effective performance. Once the managers have established objectives and developed plans to achieve them, they must design and develop a human organisation that will be able to carry out those plans successfully. Organising involves dividing work into convenient tasks or duties, the grouping of such duties in the form of positions, grouping of various positions into departments and sections, assigning duties to individual positions and delegating authority to each position so that the work is carried out as planned.

Staffing:

Staffing involves managing various positions of the organisational structure. It involves selecting and placing the right person in the right position. Staffing includes identifying the gap between manpower required and available, identifying the sources from where people will be selected, selecting people, training them, fixing the financial compensation, and appraising them periodically. The success of the organisation depends upon the successful performance of the staffing function.

Directing

It is that part of the managerial function which actuates the organisational methods to work efficiently for the achievement of organisational purposes. It is considered the life-spark of the enterprise which sets in motion the action of people because planning, organising, and staffing are the mere preparations for doing the work. Direction is that inert-personnel aspect of management that deals directly with influencing, guiding, supervising, motivating sub-ordinate for the achievement of organisational goals. Direction has the following elements:

1. Supervision
2. Motivation
3. Leadership
4. Communication

Supervision- implies overseeing the work of subordinates by their superiors. It is the act of watching & directing work & workers.
Motivation- means inspiring, stimulating, or encouraging the subordinates with zeal to work. Positive, negative, monetary, non-monetary incentives may be used for this purpose.
Leadership- may be defined as a process by which a manager guides and influences the work of subordinates in the desired direction.
Communications- is the process of passing information, experience, opinion, etc from one person to another. It is a bridge of understanding.

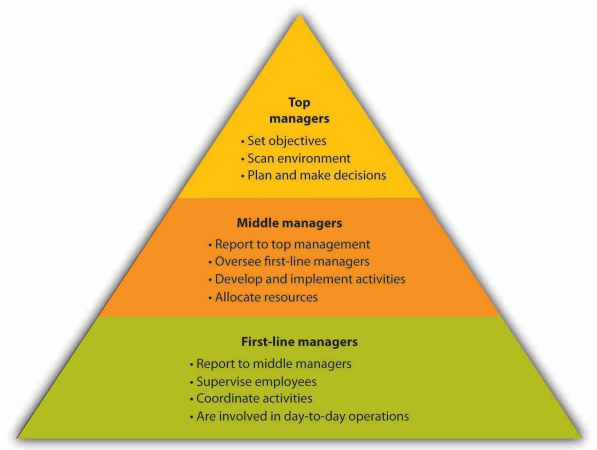
Controlling

It implies measurement of accomplishment against the standards and correction of deviation if any to ensure achievement of organisational goals. The purpose of controlling is to ensure that everything occurs in conformity with the standards. An efficient system of control helps to predict deviations before they actually occur. According to *Theo Haimann*, “Controlling is the process of checking whether or not proper progress is being made towards the objectives and goals and acting if necessary, to correct any deviation”. According to Koontz & O’Donnell “Controlling is the measurement & correction of performance activities of subordinates in order to make sure that the enterprise objectives and plans desired to obtain them are being accomplished”. Therefore controlling has the following steps:

1. Establishment of standard performance.
2. Measurement of actual performance.
3. Comparison of actual performance with the standards and finding out deviation if any.
4. Corrective action

LEVELS OF MANAGEMENT

People in an organisation are arranged in a hierarchy and they all have the relationship of superior subordinates. Every manager in an organisation performs all five management functions. The relative importance of these functions varies along with the managerial levels. There may be as many levels in the organisation as the number of superiors in a line of command. Some of these levels are merged into one on the basis of the nature of functions performed and the authority enjoyed. E.F.L. Brech has classified management levels into three categories – Top Management, Middle Management, and Supervisory/Lower Level.



The top management of an organisation consists of a board of directors, chairman, and chief executive officer. Top-level management determines goals and objectives. It performs overall planning, organising, staffing, directing, and controlling. It integrates organisation with the environment, balances the interest groups, and is responsible for overall results. Middle management stands between top management and supervisory management level. Middle-level management establishes programs for departments and carries out functions for achieving specific goals. The other functions of middle-level management are training and development of employees, integrating various parts of the department. Supervisory management is concerned with efficiency in using the resources of the organisation. A supervisor is an executor of policies and procedures making a series of decisions with well-defined and specified premises.

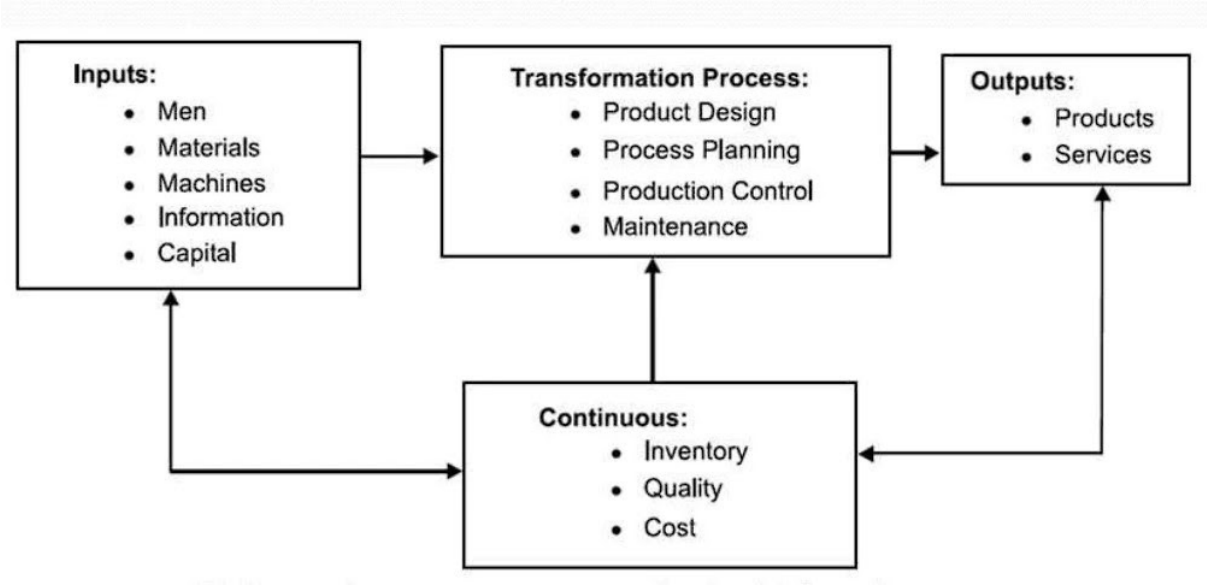
FUNCTIONAL AREAS OF MANAGEMENT

There are four functional areas of management namely **production, finance, marketing, and personnel.**

1. Production Management
2. Financial Management
3. Personnel/Human Resource Management
4. Marketing Management.

CONCEPT OF PRODUCTION

Production is defined as the step-by-step conversion of one form of material into another form through a chemical or mechanical process to create or enhance the utility of the product to the user. Thus production is a value addition process. At each stage of processing, there will be value addition.



DIFFERENCE BETWEEN PRODUCTION & PRODUCTIVITY

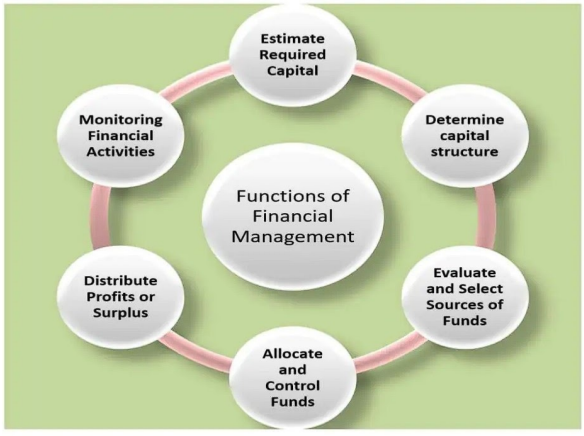
Production is the number of goods made. Productivity is the number of goods produced divided by employees. Productivity.

QUALITY CONTROL

Quality Control (QC) may be defined as a system that is used to maintain a desired level of quality in a product or service'. Quality control can also be defined as 'that industrial management technique by means of which product of uniform acceptable quality is manufactured'. It is the entire collection of activities that ensures that the operation will produce the optimum quality products at minimum cost.

The main objectives of quality control are:

1. To reduce company cost through reduction of losses due to defects.
2. To achieve interchangeability of manufacture in large-scale production.
3. To produce optimal quality at a reduced price.
4. To ensure the satisfaction of customers with products or services or high-quality level, to build customer goodwill, confidence, and reputation of the manufacturer.
5. To make inspection prompts to ensure quality control.
6. To check the variation during manufacturing.



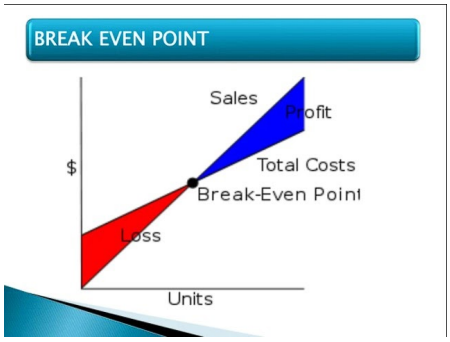
Financial Management:

All activities (production, marketing, or personnel) require a constant flow of funds. The finance department takes care of the financial requirements of the enterprise. It makes arrangements for the acquisition and effective utilisation of funds.

With the increase in the size of business, its relationship with the internal and external environment, product diversification and differentiation, Government regulations, and technological developments, the finance manager assumes an important role in the management of finance. Financial management deals with the management of finance. It is “the operational activity of a business that is responsible for obtaining and effectively utilising the funds necessary for efficient operations.”

Break-even Analysis.

A breakeven analysis is used to determine how much sales volume your business needs to start making a profit. The breakeven analysis is especially useful when you're developing a pricing strategy, either as part of a marketing plan or a business plan. In economics & business, specifically cost accounting, the break-even point (BEP) is the point at which cost or expenses and revenue are equal: there is no net loss or gain, and one has "broken even".

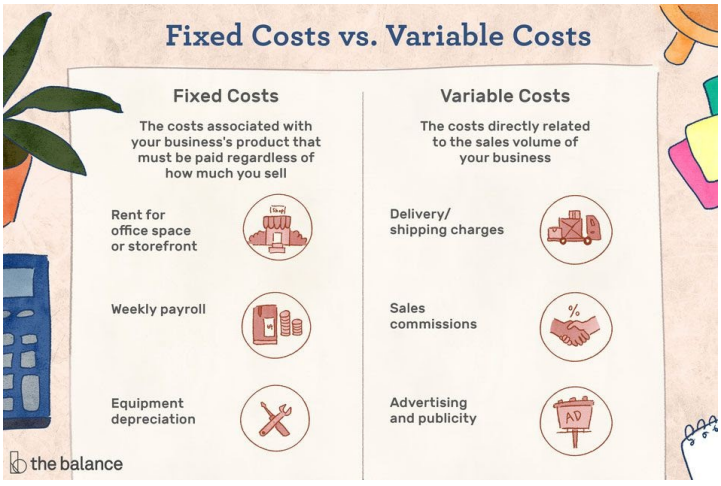


Total cost = Total revenue = B.E.P.

There are two basic types of costs a company incurs.

Variable Costs

Variable costs are costs that change with changes in production levels or sales. Examples include: Costs of materials used in the production of the goods



Fixed Costs

Fixed costs remain roughly the same regardless of sales/output levels. Examples include: Rent, Insurance, and Wages

Unit Price: The amount of money charged to the customer for each unit of a product or service.

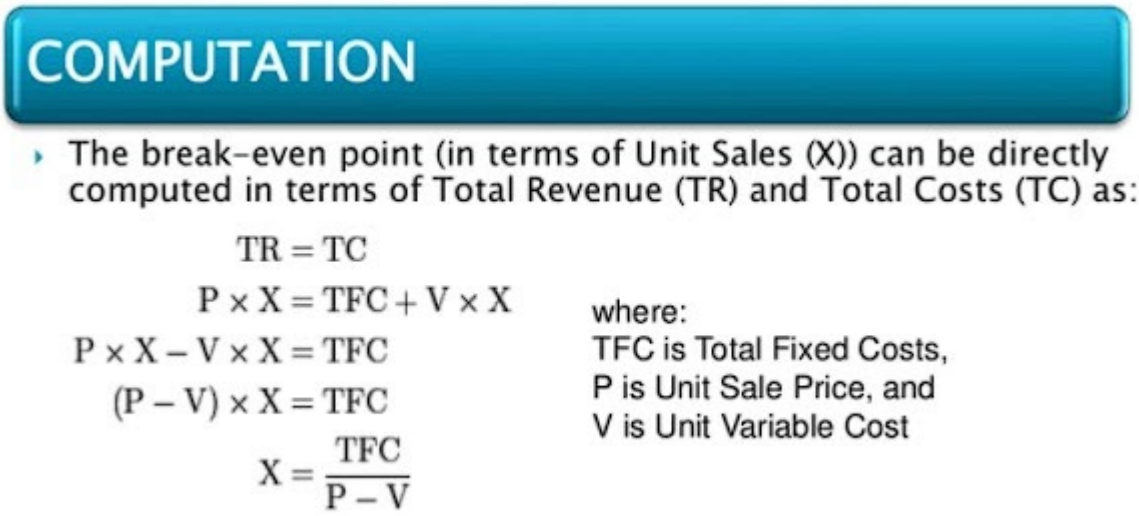
Total Cost: The sum of the fixed cost and total variable cost for any given level of production. **(Fixed Cost + Total Variable Cost)**

Total Variable Cost: The product of expected unit sales and variable unit cost. **(Expected Unit Sales * Variable Unit Cost)**

Total Revenue: The product of expected unit sales and unit price. **(Expected Unit Sales * Unit Price)**

Profit/ loss The monetary gain or loss resulting from revenues after subtracting all associated costs. **(Total Revenue - Total Costs)**

The break-even point (in terms of Unit Sales (X)) can be directly computed in terms of Total Revenue (TR) and Total Costs (TC) as The quantity (P – V) is of interest in its own right, and is called the Unit Contribution Margin (C): it is the marginal profit per unit, or alternatively, the portion of each sale that contributes to Fixed Costs COMPUTATION where: TFC is Total Fixed Costs, P is Unit Sale Price, and V is Unit Variable Cost



Marketing Management

Marketing is the process of getting the right goods or services or ideas to the right people at the right place, time, and price, using the right promotion techniques and utilising the appropriate people to provide the customer service associated with those goods, services, or ideas.

It is a process of planning and executing pricing promotions to meet the target of the organisation and safe customers.

Product

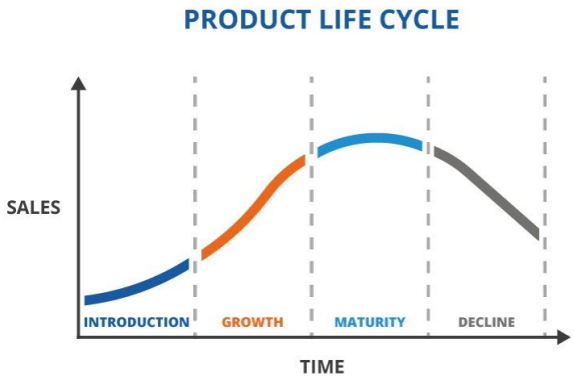
Good and services produced. It should satisfy its customers.
Products, like people, have life cycles. A product begins with an idea, and within the confines of modern business, it isn't likely to go further until it undergoes research and development (R&D) and is found to be feasible and potentially profitable. At that point, the product is produced, marketed, and rolled out.

There are four generally accepted stages in the life cycle of a product—introduction, growth, maturity, and decline.

Introduction: This phase generally includes a substantial investment in advertising and a marketing campaign focused on making consumers aware of the product and its benefits.

Growth: If the product is successful, it then moves to the growth stage. This is characterised by growing demand, an increase in production, and expansion in its availability.

Maturity: This is the most profitable stage, while the costs of producing and marketing decline.



Decline: A product takes on increased competition as other companies emulate its success—sometimes with enhancements or lower prices. The product may lose market share and begin its decline.

Price

Price is the cost consumers pay for a product. Marketers must link the price to the product's real and perceived value, but they also must consider supply costs, seasonal discounts, and competitors' prices. In some cases, business executives may raise the price to give the product the appearance of being a luxury. Alternatively, they may lower the price so more consumers can try the product.

Marketers also need to determine when and if discounting is appropriate. A discount can sometimes draw in more customers, but it can also give the impression that the product is less exclusive or less of a luxury compared to when it was priced higher.

Place

When a company makes decisions regarding place, they are trying to determine where they should sell a product and how to deliver the product to the market. The goal of business executives is always to get their products in front of the consumers that are the most likely to buy them.

In some cases, this may refer to placing a product in certain stores, but it also refers to the product's placement on a specific store's display. In some cases, placement may refer to the act of including a product on television shows, in films, or on web pages in order to garner attention for the product.

Promotion

Promotion includes advertising, public relations, and promotional strategy. The goal of promoting a product is to reveal to consumers why they need it and why they should pay a certain price for it.

Marketers tend to tie promotion and placement elements together so they can reach their core audiences. For example, In the digital age, the "place" and "promotion" factors are as much online as they are offline. Specifically, where a product appears on a company's web page or social media, as well as which types of search functions trigger corresponding, targeted ads for the product.

Human Resource Management

The process of managing people of an organisation with a human approach. HRM is a system that focuses on human resources development, on one hand, effective management of people on the other hand.

Manpower Planning

Putting the right number of people, the right kind of people in the right place.

Procedure

- Analysing the current manpower inventory
- Making future manpower forecasts
- Developing employment program
- Designing training program

Recruitment

Internal Recruitment - is a recruitment which takes place within the concern or organisation. Internal sources of recruitment are readily available to an organisation. Internal sources are primarily three - Transfers, promotions, and Re-employment of ex-employees.
Internal recruitment may lead to an increase in employees' productivity as their motivation level increases. It also saves time, money, and effort. But a drawback of internal recruitment is that it refrains the organisation from new blood. Also, not all the manpower requirements can be met through internal recruitment. Hiring from outside has to be done.

Internal sources are primarily 3

1. **Transfers**
2. **Promotions (through Internal Job Postings)**
3. **Re-employment of ex-employees -** Re-employment of ex-employees is one of the internal sources of recruitment in which employees can be invited and appointed to fill vacancies in the concern. There are situations when ex-employees provide unsolicited applications also

External Recruitment - External sources of recruitment have to be solicited from outside the organisation. External sources are external to a concern. But it involves a lot of time and money. The external sources of recruitment include - Employment at the factory gate, advertisements, employment exchanges, employment agencies, educational institutes, labour contractors, recommendations, etc.

1. **Employment at Factory Level -** This is a source of external recruitment in which the applications for vacancies are presented on bulletin boards outside the Factory or at the Gate. This kind of recruitment is applicable generally where factory workers are to be appointed. There are people who keep on soliciting jobs from one place to another. These applicants are called unsolicited applicants. These types of workers apply on their own for their job. For this kind of recruitment, workers have a tendency to shift from one factory to another and therefore they are called "badli" workers.
2. **Advertisement -** It is an external source which has got an important place in recruitment procedure. The biggest advantage of advertisement is that it covers a wide area of the market and scattered applicants can get information from advertisements. The medium used is Newspapers and Television.
3. **Employment Exchanges -** There are certain Employment exchanges that are run by the government. Most of the government undertakings and concerns employ people through such exchanges. Nowadays recruitment in government agencies has become compulsory through employment exchange.
4. **Employment Agencies -** Certain professional organisations look skilful towards recruitment and employment of people, i.e. these private agencies run by private individuals supply required manpower to needy concerns.

5. **Educational Institutions -** There are certain professional Institutions that serve as an external source for recruiting fresh graduates from these institutes. This kind of recruitment done through such educational institutions is called Campus Recruitment. They have special recruitment cells which help in providing jobs to fresh candidates.
6. **Recommendations -** Certain people have experience in a particular area. They enjoy goodwill and a stand in the company. There are certain vacancies which are filled by recommendations of such people. The biggest drawback of this source is that the company has to rely totally on such people which can, later on, prove to be inefficient.
7. **Labour Contractors -** These are the specialist people who supply manpower to the Factory or Manufacturing plants. Through these contractors, workers are appointed on a contract basis, i.e. for a particular period. Under conditions when these contractors leave the organisation, such people who are appointed have to also leave the concern.

Employee Selection Process

1. **Written Tests-** Various written tests conducted during the selection procedure are aptitude test, intelligence test, reasoning test, personality test, etc. These tests are used to objectively assess the potential candidate. They should not be biased.
2. **Employment Interviews-** It is a to one interaction between the interviewer and the potential candidate. It is used to find whether the candidate is best suited for the required job or not. But such interviews consume time and money. Moreover, the competencies of the candidate cannot be judged. Such interviews may be biased at times. Such interviews should be conducted properly. No distractions should be there in the room. There should be honest communication between the candidate and the interviewer.
3. **Medical examination-** Medical tests are conducted to ensure the physical fitness of the potential employee. It will decrease the chances of employee absenteeism.
4. **Appointment Letter-** A reference check is made about the candidate selected and then finally he is appointed by giving a formal appointment letter.

Training of Employees

- New candidates who join an organisation are given training. This training familiarises them with the organisational mission, vision, rules and regulations, and the working conditions.
- The existing employees are trained to refresh and enhance their knowledge.
- If any updations and amendments take place in technology, training is given to cope up with those changes. For instance, purchasing new equipment changes in the technique of production, computer implanted. The employees are trained about the use of new types of equipment and work methods.
- When promotion and career growth become important. Training is given so that employees are prepared to share the responsibilities of the higher-level job.

Leadership concept

Leadership plays a central part in understanding group behaviour, for it is the leader who usually provides the direction toward goal attainment.

Therefore, a more accurate predictive capability should be valuable in improving group performance.

Definition of Leadership

"The ability to influence a group toward the achievement of goals." – The source of this influence may be formal. A person may assume a leadership role simply because of his/her position. – All leaders are managers… but all managers are not leaders. – the ability to influence that arises outside the formal structure of the organisation-non-sanctioned leadership – Leaders can emerge from within a group as well as by formal appointment to lead a group

Differences between Manager and a Leader

Manager	Leader
Managers are always process-oriented on how the organisation works.	The leaders are vision-oriented and think about the future.
Managers always protect themselves.	Leaders always protect their staff.
Managers always avoid being involved in conflicts.	Leaders always deal with conflicts in a positive way.
He is unclear regarding trust.	Leaders always trust on his staff and vice versa

Leadership styles the three major styles of leadership are:

Authoritarian or autocratic - 'Boss'

Participative or democratic - 'Teamwork'

Delegative or Free Reign - 'Multi Disciplined'

Although good leaders use all three styles, with one of them normally dominant, bad leaders tend to stick with one style.

Authoritarian (autocratic): "**I want both of you to...**" This style is used when leaders tell their employees what they want to be done and how without getting the advice of their team. It can be used when you have all the information to solve the problem, you are short on time, and your employees are well motivated. Some people think of this style as yelling, using bossy language and threats, and abusing their power. This is not the authoritarian style, it is an abusive, unprofessional style called bossing people around. It has no place in a leader's work. The authoritarian style should normally only be used on rare occasions. If you have the time and want to gain more commitment and motivation from your employees, then you should use the participative style

Participative (democratic): "**Let's work together to solve this…**" This style involves the leader including one or more employees in decision making (decide what to do and how to do it). However, the leader maintains the final decision-making authority. Using this style is not a sign of weakness, rather it is a sign of strength that your employees will respect. This is best used when you have part of the information, and your employees have other parts. A leader is not expected to know everything -- this is why you employ knowledgeable and skillful employees. Using this style is of mutual benefit -- it allows them to become part of the team and allows you to make better decisions.

Laissez-Faire (free reign): "You two take care of the problem while I go…" In this style, the leader allows the employees to make the decisions. However, the leader is still responsible for the decisions that are made. This is used when employees are able to see the situation and what needs to be done and how to do it. You cannot do everything! You must set priorities and give out certain tasks. This is not a style to use so that you can blame others when things go wrong, rather this is a style to be used when you fully trust and have confidence in the people below you. Do not be afraid to use it, however, use it wisely!

Motivation

It is defined as the driving force that initiates and directs behaviour. Motivation is defined as the process that initiates, guides, and maintains goal-oriented behaviours. Motivation is what causes us to act, whether it is getting a glass of water to reduce thirst or reading a book to gain knowledge.

Characteristics of motivation

1. **Motivation is a psychological phenomenon:** Motivation is an internal feeling which generates within an individual. Motivating factors are always unconscious but they are to be aroused by leadership action.
2. **Motivation is based on needs:** Needs may be consciously or unconsciously felt. Needs may be (a) fundamental needs such as food, clothes, shelter, etc., and (b) ego- satisfaction needs such as self-development, self-actualization. These needs vary with individuals and with the same individual at different times.
3. **Goals are motivators:** Motivation causes goal-directed behaviour, feeling of need by the person causes him to behave in such a way that he tries to satisfy himself.
4. **Motivation is a continuous process:** Motivation is an unending process. Wants are innumerable and cannot be satisfied at one time. As satisfaction of needs is an unending process, so the process of motivation is also unending.

Importance of motivation

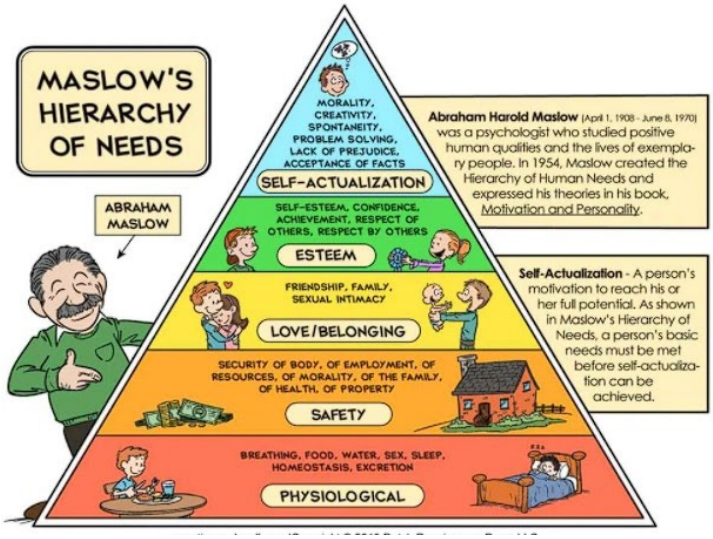
1. **Best utilisation of resources:** Motivation ensures the best and efficient utilisation of all types of resources.
2. **Will to contribute:** There is a difference between "capacity to work" and "willingness to work." One can be physically and mentally fit to work but he may not be willing to work. Motivation results in a feeling of involvement to present his better performance. Thus, motivation bridges the gap between the capacity to work and the willingness to work.
3. **The sizable increase in production and productivity:** When motivated properly, people try to put effort into producing more, thus increasing their efficiency, and as a result of this the general production and productivity of the organisation increases.
4. **Basis of cooperation:** In a zeal to produce more the members work as a team to pull the weight effectively, to get their loyalty to the group and the organisation, to carry out properly the activities allocated, and generally to play an efficient part in achieving the purpose which the organisation has undertaken'.
5. **An improvement upon skill and knowledge:** All the members will try to be as efficient as possible and will try to improve upon their skills and knowledge so that they may be able to contribute to the progress of the organisation.

Factors affecting motivation

	Intrinsic	Extrinsic
Working environment	- individual's feeling at work - positive, secure, and supportive	- relationship with colleagues and supervisors
Rewards systems	- usefulness - feeling of accomplishment	- money - gratitude
Feedback & processing time	- reassurance - confidence boost	- supervisor's role - time constraints
User experience & role of technology	- initial success	- technology tools
Site marketing & communication	- goal of site - insecurity factors	- results of site

Theories of motivation

Man is a wanting being, i.e. his wants are growing continuously even when some wants are satisfied. Human needs are of varied and diversified nature. They can be arranged in a hierarchy of importance progressing from a lower to a higher order of needs. Needs have a definite hierarchy of importance. As soon as needs on a lower level are fulfilled, those on the next level will emerge and demand satisfaction. A satisfied need does not act as a motivator. As one need is satisfied, another replaces it.



Physiological Needs: Physiological needs are the basic needs for sustaining human life. These needs include food, shelter, clothing, rest, air, water, sleep. These basic human needs (also called biological needs) lie at the lowest level in the hierarchy of needs as they have priority over all other needs.

Security / Safety Needs: These are the needs connected with the psychological fear of loss of job, property, natural calamities or hazards, etc. An employee wants protection from such types of fear. He prefers adequate safety or security in this regard i.e. protection from physical danger, security of a job, pension for old age, insurance cover for life, etc. The safety needs come after meeting the physiological needs.

Social Needs: An employee is a human being is rightly treated as a social animal. He desires to stay in the group. He feels that he should belong to one or the other group and the member of the group should accept him with love and affection. Every person desires to be affiliated with such groups. This is treated as a basic social need of an individual.

Esteem Needs: This category of needs include the need to be respected by others, the need to be appreciated by others, the need to have power and finally prestigious position. Once the previous needs are satisfied, a person feels to be held in esteem both by himself and also by others. Thus, esteem needs are twofold in nature. Self-esteem needs include those for self-confidence, self-respect, competence, etc. The second groups of esteem needs are those related to one's status, reputation, recognition and appreciation by others. This is a type of personal ego that needs to be satisfied.

Self-actualisation Needs: This is the highest among the needs in the hierarchy of needs advocated by Maslow. Self-actualisation is the desire to become what one is capable of becoming. It is a 'growth' need. A worker must work efficiently if he is to be ultimately happy. Here, a person feels that he should accomplish something in his life. He wants to utilise his potentials to the maximum extent and desires to become what one is capable of becoming

Business Communication

It is the sharing of information between people within an organization that is performed for the commercial benefit of the organaization.

1. Exchanging information
2. Preparing plans and policies
3. Achieving goals
4. Increasing employee's efficiency
5. Solving problems
6. Making decisions
7. Improving industrial relation
8. Publicity of goods and services
9. Removing controversies
10. Enhancing employee satisfaction

Communication barrier

Communication barriers can be defined as the aspects or conditions that interfere with the effective exchange of ideas or thoughts

Types of barrier

1. Physical Barrier
2. Cultural Barrier
3. Language Barrier
4. Emotional Barrier
5. Gender Barrier
6. Organizational Barrier

Physical Barrier

- Physical barriers relate to a disturbance in the immediate situation, which can interfere in the course of effective communication.
- Some of them are easy to Alter whereas, some may prove to be tough obstacles in the process of effective communication

Cultural Barrier

- Cultures provide people with ways of thinking-- ways of seeing, hearing, and interpreting the world.
- Similar words can mean different things to people from different cultures, even when they talk the "same" language.

Language Barrier

- Inability to converse in a language that is known by both the sender and receiver is the greatest barrier to effective communication.
- When a person uses inappropriate words while conversing or writing, it could lead to misunderstanding between the sender and the receiver.

Emotional Barrier

- The emotional state may influence your capacity to make yourself understood and hamper your understanding of others.
- Many times, emotional barriers on your part or the part of the person you are speaking which may inhibit your ability to communicate on an effective level.

Gender Barrier

- Relationships, respect, workplace authority and education are common ways men and women are pitted against each other.
- Overcoming barriers in gender communication isn't simple but can be made clear with a little patience and understanding.
- This barrier arises because men and women have different ways of thinking and communication.

Organizational Barrier

- Organizational structure greatly affects the capability of the employees as far as communication is concerned.
- All the internal factors which stymie or block the process of communication are known as organisational barriers. Some such factors have already been discussed like restrictive environments, deceptive tactics, communication networks.

Intellectual Property Rights

Intellectual Property Rights (IPRs) are legal rights that protect creations and/or inventions resulting from intellectual activity in the industrial, scientific, literary or artistic fields. The most common IPRs include **patents**, **copyrights**, **marks** and **trade secrets.**

	Copyright	Patents	Trademark
What's Protected?	Original works of authorship, such as books, articles, songs, photographs, sculptures, choreography, sound recordings, motion pictures, and other works	Inventions, such as processes, machines, manufactures, compositions of matter as well as improvements to these	Any word, phrase, symbol, and/or design that identifies and distinguishes the source of the goods of one party from those of others
Requirements to be Protected	A work must be original, creative and fixed in a tangible medium	An invention must be new, useful and nonobvious	A mark must be distinctive (i.e., that is, it must be capable of identifying the source of a particular good)
Term of Protection	Author's life plus 70 more years.	20 years	For as long as the mark is used in commerce
Rights Granted	Right to control the reproduction, making of derivative works, distribution and public performance and display of the copyrighted works	Right to prevent others from making, selling using or importing the patented invention	Right to use the mark and to prevent others from using similar marks in a way that would cause a likelihood-of-confusion about the origin of the goods or services.

Factories Act 1948

The objective of the Act

- The Act has been enacted primarily with the object of protecting workers employed in factories against industrial and occupational hazards.
- For that purpose, it seeks to impose upon the owner or the occupier certain obligations to protect the workers and to secure for them employment in conditions conducive to their health and safety.

Features

Working Hour

- Weekly hours not more than 48 hours a week
- The first day of the week i.e. Sunday shall be a weekly holiday
- Compensatory holidays
- Where a weekly holiday is denied he shall be allowed to avail the compensatory holiday within a month.

Welfare Issues

- Washing facilities(Sec 42)
- Facilities for, storing & drying clothes(Sec43)
- Facilities for sitting(Sec 44)
- First aid appliances(Sec 45)
- Canteen(Sec46)
- Restroom, shelters, lunch room(Sec 47)
- Welfare Officers(Sec 49)
- Power to make a rule(Sec 50)

Safety

- All safety equipment will be provided by the company
- Safety majors are taken by the company

Payment of Wages Act 1936

Objectives

- To Regulate the payment of wages to a certain class of employed person. Regulation completed by the Act is to fold: **1. The date of payment of wages**. **2. The deduction from wages whether fine or otherwise.**
- To ensure payment of wages to persons who are covered by the Act certain provisions have been made in this Act.

Features

Time of payment

If the number of persons employed in factory, industrial or other establishment or in railway -

- Wages to be Paid before **7th Day**- If a person employed **less than 1000** persons
- Wages to be paid before **10th day** – If a person employed **more than 1000** persons

Wages not paid or unauthorized deduction can e claimed under this act

"Wages" All remuneration (whether by way of salary allowances or otherwise) expressed in terms of money or capable of being so expressed which would if the terms of employment express or implied were fulfilled by payable to a person employed in respect of his employment or of work done in such employment and includes - any remuneration payable under any award or settlement between the parties or order of a court **but does not include any bonus, commission, house rent allowance, overtime wages and any other allowance.**